

Assignor's own form of notice, Defendant Powis has not waived its right to compel the Assignor to nonbinding fee arbitration.

2. Dismissal or Stay of Action

Business and Professions Code section 6201(a) by its terms requires an attorney to serve the mandated State Bar form either prior to or at the time the summons and complaint are served, which Plaintiff concedes did not occur here. Defendant has requested dismissal of the action or alternatively, that the action be stayed pending nonbinding arbitration of the fee dispute under the MFAA. Business and Professions Code section 6201 and Rule 3.501 of the State Bar Rules make the attorney's failure to provide the State Bar mandatory notice of the client's right to arbitrate a ground for the Court to dismiss the FAC.

Case law has construed the MFAA provisions as giving the Court discretion whether to dismiss the action. (*See Richard, Watson & Gershon v. King* (1995) 39 Cal.App.4th 1176, 1179 [dismissal under § 6201 is discretionary, not mandatory, and was not warranted in that case where sophisticated client knew it had the right to arbitrate despite the lack of notice]; *Wager v. Mirzayance* (1998) 67 Cal.App.4th 1187, 1191 [trial court had discretion not to dismiss but properly exercised discretion to dismiss complaint in the absence of required notice to client of right to arbitrate]; *Law Offices of Dixon R. Howell v. Valley* (2005) 129 Cal.App.4th 1076, 1087-1088, 1090-1091 [reversing trial court order of dismissal, holding trial court abused its discretion by concluding dismissal for failure to provide the notice required by Business and Professions Code section § 6201(a) was mandatory and required as a matter of law rather than subject to the trial court's discretion].)

While it is not clear to the Court that the notice requirement of Business and Professions Code section 6201(a) is necessarily an essential element of any cause of action of the FAC, it is a prerequisite to pursuing the claim in Court that, if not fulfilled, in the Court's discretion may warrant dismissal of the action. Under the circumstances, and pursuant to the applicable statute, rules, and case law, the Court finds dismissal of the action, without prejudice, is warranted as permitted under Business and Professions Code section 6201(a) and State Bar Rule 3.501(C) in the exercise of the Court's discretion.

11. 9:00 AM CASE NUMBER: C25-00842

CASE NAME: CHRIS CARVALHO VS. POWIS PARKER, INC.

***HEARING ON MOTION IN RE: STRIKE PORTIONS OF THE 1ST AMENDED COMPLAINT**

FILED BY: POWIS PARKER, INC.

TENTATIVE RULING:

Before the Court is a motion to strike portions of Plaintiff's first amended complaint and to dismiss action, or alternatively, refer the matter to State Bar non-binding fee arbitration. Based on the Court's concurrent ruling on Defendant's demurrer, the motion is **denied, without prejudice** to renewing the motion with respect to any complaint Plaintiff may re-file.

12. 9:00 AM CASE NUMBER: C25-01679
CASE NAME: CARLOS ALFARO AREVALO VS. HYUNDAI MOTOR AMERICA
*MOTION/PETITION TO COMPEL ARBITRATION
FILED BY: HYUNDAI MOTOR AMERICA
TENTATIVE RULING:

Defendant, Hyundai Motor America Corporation (“defendant” or “Hyundai”), moves the Court under both the California Arbitration Act (“CAA”) and the Federal Arbitration Act (“FAA”) to compel plaintiffs to arbitrate the claims set forth in their complaint, and to stay this action pending the outcome of arbitration. The motion is **granted** and the proceedings herein are stayed pending arbitration. The Court sets a case management conference at 8:30 a.m. on July 7, 2026 to address the status of arbitration.

Background

Plaintiffs, Carlos E. Alfaro Arevalo and Natalia S. Rosales Martinez, allege that, on July 28, 2022, they purchased a 2022 Hyundai Ioniq 5. (Complaint, ¶8.) Plaintiffs assert that defendant issued an express warranty, in which it undertook to preserve or maintain the utility or performance of their vehicle, or to provide compensation if defendant could not do so. (*Ibid.*) The vehicle manifested defects covered by the express warranty, including electrical defects, interior component defects, exterior and body component defects, recalls, and “other serious nonconformities to warranty.” (*Id.* at ¶9.) Plaintiffs delivered the vehicle for repair, but Hyundai failed to conform the vehicle to warranty or provide restitution. (*Id.*, ¶¶23-35.)

Plaintiffs filed the present complaint against Hyundai on June 13, 2025, alleging three causes of action under the Song-Beverly Act. Defendant responded to the complaint by filing this motion on September 3rd.

Defendant’s motion invokes the arbitration provisions found in a purported “Owner’s Handbook & Warranty Information” and in a “Connected Services Agreement Terms and Conditions.” In support of its motion, defendant provides (1) a declaration from counsel, Ali Ameripour, who attaches the purported handbook, as well as plaintiff’s complaint (Exhibits 3 and 4, respectively), and (2) a declaration from Vijay Rao, Hyundai’s Director of Connected Ops & Owner Apps/Web, for Hyundai Motor America, Inc., who attaches the “Connected Services Agreement Terms and Conditions Effective as of 5/26/22,” as well as documents he asserts relate to plaintiff’s agreement to those terms.

Plaintiffs oppose the motion, arguing defendant fails to show an agreement to arbitrate, that the Ameripour declaration is inadmissible, that the CSA does not cover their claims, and that the Magnuson-Moss Warranty Act precludes arbitration. Plaintiffs further argue the arbitration provision within the Owner’s Manual is unconscionable. In support of the opposition, plaintiffs provide a declaration from counsel that (1) attaches rules from two arbitration providers (AAA and JAMS), (2) asserts that arbitrators are prejudiced in favor of manufacturers, and have previously declined to allow depositions in Lemon Law cases, and (3) states the defects found in plaintiffs’ vehicle are related to the transmission and powertrain.

Defendant’s reply brief violates page limits set forth in California Rules of Court, Rule 3.1113 (d). Counsel shall be mindful of this in future court briefing. They reply argues that Hyundai has met its burden to show the existence of an agreement to arbitrate, that plaintiff has not refuted its

equitable estoppel grounds, and the agreements are not unconscionable or barred by statute.

Evidentiary Matters

Based on lack of personal knowledge, foundation, and hearsay, plaintiffs object to the purported Owner's Handbook and the statement identifying the exhibit. The objections are **sustained**.

Both sides request judicial notice. Defendant requests notice of the complaint in this action. Plaintiffs request notice of federal regulations and legislative history concerning the Magnuson-Moss Warranty Act. Neither side objects to the Court taking judicial notice. The requests are **granted**.

Defendant provides a declaration by counsel in support of the reply. The declaration attaches multiple non-binding orders from other trial courts. "The general rule of motion practice, which applies here, is that new evidence is not permitted with reply papers. ... '[T]he inclusion of additional evidentiary matter with the reply should only be allowed in the exceptional case ...' and if permitted, the other party should be given the opportunity to respond." (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537–1538.) The Court strikes and declines to consider the declaration.

Standard

A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC, hereinafter "Pinnacle,"* (2012) 55 Cal.4th 223, 236.) In California, contract formation requires free and mutual consent communicated to each other. (Civ. Code, § 1565.) Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties. (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 788.)

"[A] court, before granting a petition to compel arbitration, must determine the factual issue of 'the existence or validity of the arbitration agreement. In this way, a court's role, though limited, is critical. There is indeed a strong policy in favor of enforcing agreements to arbitrate, but there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate and which no statute has made arbitrable." (*Toal v. Tardif* (2009) 178 Cal.App.4th 1208, 1219–1220.)

Once the party seeking to compel arbitration has alleged the agreement exists, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (*Ibid.*) If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.)

Analysis

Defendant's motion contends there are two different arbitration agreements that compel arbitration here: that found in the agreement contained in the Owner's Handbook (Ameripour Decl. ¶3, Ex. 3) and that found in the CSA terms & conditions, to which customers purportedly must agree when enrolling in Bluelink services (Rao Decl. ¶¶4–6). Plaintiffs' opposition contends, as a threshold

matter, that any agreement to submit to binding arbitration is barred by the Magnuson-Moss Warranty Act.

Whether the Magnuson-Moss Warranty Act Precludes Arbitration

Citing 16 C.F.R. section 703.5, subdivision (j), plaintiffs argue that the Magnuson-Moss Warranty Act precludes binding mandatory arbitration of any warranty claim, even those under state law. (Memorandum of Points and Authorities in Support of Opposition, 3:18-20.) In response to the argument, defendant notes that plaintiffs do not bring a claim under the Magnuson-Moss Warranty Act.

More importantly, defendant argues both the Fifth and Eleventh Circuits have considered plaintiffs' contention that the Magnuson-Moss Warranty Act precludes binding arbitration agreements, and rejected it. (See *Walton v. Rose Mobile Homes LLC* (5th Cir. 2002) 298 F.3d 470, 478-479 ["We hold that the MMWA does not preclude binding arbitration of claims pursuant to a valid binding arbitration agreement, which the courts must enforce pursuant to the FAA."]; *Davis v. Southern Energy Homes, Inc.* (11th Cir. 2002) 305 F.3d 1268, 1274-1280 ["We hold that the Magnuson-Moss Warranty Act permits binding arbitration and that a written warranty claim arising under the Magnuson-Moss Warranty Act may be subject to a valid pre-dispute binding arbitration agreement."])

While these cases are not binding on this Court, they are persuasive, especially in light of the time that has passed since the issuance of the decisions, and the lack of any citation to California authorities saying otherwise. Accordingly, the court finds that a binding arbitration agreement is not prohibited in this case by the Magnuson-Moss Warranty Act.

Owners Handbook

With respect to the Owner's Handbook, counsel's declaration infers (but does not actually state) that plaintiff purchased a vehicle and received a manual that included an arbitration agreement. Exhibit 3 to the declaration is a document simply described as "Plaintiffs' Owner's Handbook & Warranty Information" for Plaintiff's [sic] vehicle." (Ameripour Decl., ¶13, Ex. 3.)

The attorney's declaration includes no information about the source of the document, or any personal foundation for how counsel knows that is a document that applies to plaintiffs in this case. The document does not contain any indication of acceptance by plaintiffs, and there is no evidence the document was ever actually given to plaintiffs at any time. (See *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279, 1288-1290 [Ninth Circuit found arbitration provision in a warranty brochure to be insufficient to form an agreement to arbitrate with the consumer: "warranty generally does not impose any independent obligation on the buyer outside of the context of enforcing the seller's promises."])

Plaintiffs properly objected to the introduction of the handbook and the declaration based on lack of foundation and hearsay. Those objections have been sustained. Accordingly, defendant provides no admissible evidence of plaintiffs' agreement to the terms of the purported handbook.

The Court acknowledges appellate courts have taken what might appear to be diverging approaches regarding the degree of proof required for a moving party to meet its initial burden on a motion to compel arbitration. (Compare, e.g., *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215 with *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836), there is nothing set forth in the moving or reply papers to establish that plaintiffs actually agreed to the terms of the inadmissible document attached to counsel's declaration, or to establish the document was even delivered to the plaintiffs here.

Defendant's position is that the existence of the lawsuit itself (and cause of action based on an express warranty) is sufficient to establish agreement to certain terms under an equitable estoppel theory. However, the terms of any *pleaded* express warranty do not necessarily concede all terms of an unauthenticated, inadmissible handbook that also contains an arbitration provision.

The Court finds Hyundai has not met its burden to establish an arbitration agreement based on the Owner's Manual. This issue (and the arguments related to the unconscionability of the purported handbook) is nevertheless not crucial to the outcome here, in light of the CSA, discussed below.

Connected Services Agreement ("CSA")

As to the CSA, plaintiffs argue defendant provides no evidence that they agreed to it. However, Vijay Rao declares that the plaintiffs enrolled the vehicle in Bluelink services on July 28, 2022. Further, he states that in order to enroll, customers must agree to the then-effective Connected Services Agreement. This *is* evidence. Plaintiffs do not object or offer contradictory evidence. Plaintiffs do not contend that the CSA's arbitration provisions are unconscionable. To the extent they argue unenforceability due to the Magnuson-Moss Act, this has been rejected, as discussed above.

Accordingly, the motion must be granted.